# EXECUTIVE SUMMARY

## I. Introduction

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

## II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Sto. Nino, Cagayan for CY 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

## III. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

| Accounts | 2023 | 2022 | Increase (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Total Assets | ₱ 706,629,517.98 | ₱ 662,186,337.15 | ₱ 44,443,180.83 |
| Total Liabilities | ₱ 156,944,666.44 | ₱ 137,978,436.29 | ₱ 18,966,230.15 |
| Total Government Equity | ₱ 549,684,851.54 | ₱ 524,207,900.86 | ₱ 25,476,950.68 |
| **Financial Performance** | | | |
| Total Income | ₱ 237,928,413.83 | ₱ 309,920,245.23 | ₱ (71,991,831.40) |
| Total Expenses | ₱ 184,536,583.85 | ₱ 187,447,032.90 | ₱ (2,910,449.05) |

| **Appropriations, Allotments and Obligations** | | | |
|---|---|---|---|
| Total Appropriations – Current | ₱ 246,736,014.20 | ₱ 320,426,138.00 | ₱ (73,690,123.80) |
| Total Obligations – Current | ₱ 213,915,023.35 | ₱ 239,679,360.76 | ₱ (25,764,337.41) |
| Total Appropriations – Continuing | ₱ 124,021,654.66 | ₱ 85,580,538.09 | ₱ 38,441,116.57 |
| Total Obligations - Continuing | ₱ 37,949,383.79 | ₱ 17,292,794.14 | ₱ 20,656,89.65 |

The table below presents the fund transfers received by the Municipality from other agencies totaling P20,161,250.56, with comparative figures for CY 2022. There were no funds transferred to other agencies during the year.

| | **2023** | **2022** | **Increase (Decrease)** |
|---|---|---|---|
| **Funds Received from:** | | | |
| National Government Agencies (NGAs) | ₱ 20,161,250.56 | ₱ 30,066,201.08 | ₱ (9,904,950.52) |
| **Total** | ₱ 20,161,250.56 | ₱ 30,066,201.08 | ₱ (9,904,950.52) |

## IV. Operational Highlights

The LGU Sto. Nino is headed by the Municipal Mayor, Honorable Vicente G. Pagurayan, and Vice-Mayor, Honorable Andrew Vincent R. Pagurayan. For CY 2023, the Municipality had a total of 365 personnel complement, consisting of 111 permanent, 12 elective, 2 co-terminus, 23 contract of service and 217 job order status.

## V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Sto. Nino for the year-ended December 31, 2023, due to: *(a) Understatement of the Construction in Progress (CIP) account due to non-recording of on-going projects amounting to P74,880,434.04; (b) understatement of the Due to NGAs account due to the erroneous recording of disbursements pertaining to the trust receipts amounting to P37,190,305.02; (c) non-reconciliation of the Property, Plant and Equipment (PPE) records of the General Service Office (GSO) and the Accounting Office due to non-maintenance of Property Cards (PCs) and Property, Plant and Equipment Ledger Cards (PPELCs), respectively.*

## VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the LGU Sto. Nino are as follows:

1. **Various procurements of medical supplies, drugs and medicines and medical and laboratory supplies totaling to P6.594 million were directly recorded as outright expenses upon receipt instead of the appropriate inventory accounts, hence render the account unreliable.**

We recommended that Management require:

a. the Municipal Accountant to record all procured supplies as asset, under inventory accounts, upon receipt and acceptance and only record the same as expense once issued to the end-user to comply with the provisions of Section 4, Chapter 2 of the New Government Accounting System and to facilitate fair presentation of accounts in the financial statements; and

b. the General Service Officer and concerned staff to include in the conduct of the periodic physical inventory, which shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI), all supplies and materials considered as inventory items to safeguard the assets from the risk of possible loss and/or misuse.

2. **Receivables and Liabilities totaling to P105.770 million and P156.944 million, respectively, were not adequately disclosed in the Notes to Financial Statements in adherence with the International Public Sector Accounting Standards (IPSAS) and generally accepted state accounting principles and practices; thus, affecting the transparency, reliability and fair presentation of the accounts in the financial statements.**

We recommended that Management require the Accounting Office to provided adequate disclosure of necessary information as to details, nature, descriptions and breakdown of receivables and payables accounts in the Notes to Financial Statements for a more comprehensive, complete and understandable information on the financial condition and status of operations of the LGU and to ensure transparency and/or to achieve fair presentation of accounts in the financial statements.

3. **Twenty-four (24) projects implemented by the Municipality totaling P121.226 Million have incurred delays, depriving the public of the benefits that could have been derived from their immediate and maximum use.**

We recommended that the Management:

a) submit comments/justifications on the delays noted in the 24 projects and what actions undertaken by Management in order to resolved those issues and concerns, causing the delays;

b) if proper, initiate procedures for rescission of contracts involving the projects pursuant to the afore-cited provisions of Annex "E" of RA 9184 and impose the corresponding liquidated damages on the contractors, as necessary; and

c) for future projects, require the Project Engineers to undertake proper detailed engineering and thoroughly review and evaluate Program of Work to ensure that project designs and estimates are properly prepared incorporating the conduct of regular and close monitoring and supervision of projects assigned to them, to

ensure that construction works are accomplished in accordance with the terms of the contract.

4. **The Disbursing Officer (DO) was granted multiple cash advances simultaneously and was granted another cash advance/s despite the non-liquidation of previous cash advances granted to him, thus, resulted in the accumulation of funds in the custody of the DO.**

   **Consequently, total cash advances granted to the Disbursing Officer occasionally exceeded the maximum cash accountability allowed under his fidelity bond. Thereby, exposing the government to risk of not being fully indemnified in case of defalcations, shortages, and unrelieved losses in the accounts of the DO.**

   We recommended that Management:

   a) refrain from granting simultaneous cash advances to the DO and ensure that no additional cash advance is granted unto him unless the previous cash advance is first fully settled or a proper accounting thereof is made, to avoid accumulation of funds in the custody of the Disbursing Officer;

   b) ensure that cash advances granted to the Disbursing Officer do not exceed the maximum cash accountability specified in his fidelity bond;

   c) thoroughly assess whether there is a necessity to seek an increase in the fidelity bond or designate an alternate Disbursing Officer; and

   d) make representations with the Landbank of the Philippines, the authorized depository bank of the LGU, to explore the feasibility of installing an Automated Teller Machine (ATM) within the vicinity of the Municipal Hall, which aims to determine the viability of facilitating salary and benefits payments directly through the bank accounts of employees.

## VII. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2023 is summarized as follows:

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **S**uspensions | P 6,197,082.58 | - | - | P6,197,082.58 | 0% |
| Disallowances | 4,233,556.04 | - | - | 4,233,556.04 | 0% |
| Charges | - | - | - | - | 0% |
| **Total** | **P10,430,638.62** | **-** | **-** | **P10,430,638.62** | |

## VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

| | | |
|---|---|---|
| Implemented | | 19 |
| Not Implemented | 9 | |
| Not Implemented and Reiterated in CY 2022 AAR | 1 | 10 |
| **Total** | | **29** |